

Hello Data Team,

I need the data team to investigate a business problem that is becoming increasingly important to management. Focus on our 2025 sales.

The business has generated approximately **€404.1K in net sales**, but contribution margin is only around **€85.61K (21.19%)**. While the revenue figure is encouraging, I am concerned that significant value may be leaking through product economics, discounting, returns, fulfilment, inventory availability and customer behaviour.

I do not want this exercise to be limited to reporting what has happened. I need the analysis to explain **why it is happening, where the biggest sources of profit leakage are, and what management should investigate or change.**

The questions I need answered

1. Product and category profitability

- Which products and categories generate the most and least contribution?
- Are there products generating revenue but producing very little or negative contribution?
- What are the underlying drivers — pricing, cost, discounts, returns or fulfilment?

2. Promotions and discounting

- Which promotional campaigns generate profitable sales?
- Are some promotions reducing margin without generating sufficient incremental demand?
- What is the financial impact of our different discount levels?

3. Returns

- Which products, categories, customer segments and channels are responsible for the greatest return-related losses?
- Are there specific return reasons or patterns that management should address?

5. Fulfilment economics

- Which fulfilment centres, fulfilment methods and channels generate the strongest and weakest contribution?
- Are shipping and fulfilment costs materially affecting profitability in particular markets or product categories?
- Is there an opportunity to improve fulfilment allocation?

6. Customer profitability

- Which customer segments generate the strongest contribution after considering discounts, returns and fulfilment?
- Are we acquiring customers who generate sustainable value?
- Which customer groups may require a different retention or commercial strategy?

Expected output

I want the final analysis to identify the **largest measurable sources of profit leakage**, rather than simply presenting a collection of KPIs.

Please quantify, wherever the data allows:

- Revenue impact
- Contribution-margin impact
- Return losses
- Discount impact
- Lost sales from stockouts
- Fulfilment/shipping impact
- Customer profitability
- Product-level profitability

The final recommendation should clearly distinguish between **what the data demonstrates**, **what appears to be a potential driver**, and **what requires further testing before management takes action**.

The ultimate question we need to answer is:

Why are €404.1K of sales producing only approximately €85.61K of contribution margin, where is the economic value being lost, and what evidence do we have to guide management's next decisions?

Please approach this as a **business investigation**, not simply a dashboard-building exercise.

Regards,
CEO